

EL DORADO

KANSAS

TO: City Commission
FROM: Scott Rickard
SUBJ: Consideration of an Ordinance amending Article 3, Appendix A, and Article 6 of the Zoning Regulations of the City of El Dorado, Kansas, to add Definitions, use Classifications, and Supplementary Regulations for Certain Emerging Industrial and Infrastructure Uses.
DATE: June 1, 2026

Summary:

Staff is requesting City Commission consideration of the Planning Commission's recommendation to approve zoning text amendments related to various emerging industries. The proposed ordinance would amend three parts of the City's zoning regulations as follows:

1. Article 3, Rules and Definitions, to add definitions for newer industrial, utility, energy, technology, and infrastructure related uses that are not clearly defined in the current regulations.
2. Appendix A, Listing of Uses by Zoning District, to identify whether each use is permitted by right, requires a Special Use Permit, or is not permitted in the O-I, I-1, and I-2 zoning districts.
3. Article 6, Supplementary District Regulations, to add common and use specific review standards addressing utility demand, water and wastewater, stormwater, noise, generator testing, screening, outdoor equipment, hazardous materials, emergency access, decommissioning, and substantial changes after approval.

This item is a zoning text amendment. It does not approve a specific project. It does not rezone any property. It does not approve a data center or any other emerging industry project. It does not grant an incentive. It does not commit City water, sewer, electric, street, drainage, emergency response, or other public infrastructure capacity to any future applicant.

Planning Commission Process:

This effort was intentional from the beginning. It was not prepared in response to a filed application or a specific development request. Staff began this process because there is increasing state level and regional interest in newer types of industrial and infrastructure development, including data centers, battery storage, hydrogen related facilities, semiconductor uses, advanced manufacturing, utility scale solar, research and development, and related uses.

The Planning Commission first received information and discussed this topic at its February 26, 2026 meeting. The purpose was to introduce the issue and begin reviewing how these uses should be defined, classified, and reviewed.

The Planning Commission then held a public hearing at its March 26, 2026 meeting. After receiving information and beginning the public hearing process, the Planning Commission intentionally tabled

the item. That gave the Commission more time to review the language, allowed staff to refine the proposed standards, and allowed for another public hearing.

The Planning Commission held the continued public hearing at its April 23, 2026 meeting. The April hearing included public comment, staff responses, Planning Commission discussion, and consideration of revised language. Following that process, the Planning Commission voted 6 to 0 to recommend approval to the City Commission of the proposed emerging industries zoning text amendments.

Jurisdiction:

The regulations recommended by the Planning Commission would apply only within the City of El Dorado and within the City's extraterritorial zoning jurisdiction. They would not apply across Butler County as a whole.

The City's extraterritorial jurisdiction is the area outside the City limits where El Dorado has zoning and land use authority through its adopted zoning framework and coordination with Butler County. In those areas, zoning and land use decisions fall under the City's jurisdiction, while Butler County retains authority over matters such as building permits, roads, and certain on site utility provisions under the applicable interlocal arrangements.

A majority of the written comments submitted to the Planning Commission, and a number of the individuals who spoke at the public hearing, appear to have come from persons who live or own property outside the area where these recommended regulations would apply. Those comments were still received, heard, and included in the public record. However, the decision before the City Commission is whether these regulations are appropriate for the area where El Dorado has zoning authority.

Why the Amendment Is Being Proposed:

Staff's concern is that the City should not wait until a specific application is filed before deciding how these uses should be classified or reviewed. Once a project is filed, the applicant, neighboring property owners, staff, the Planning Commission, and the City Commission are all reacting to a specific proposal. That is not the best time to decide what the rules should be.

The better approach is to update the regulations first, define the uses, identify the review path, and establish the information the City may need before a project is placed on an agenda.

This is consistent with how zoning regulations are supposed to function. Zoning regulations should not remain frozen while land use, technology, housing needs, business operations, and community expectations change. Over the last five years, the City has made six updates to its zoning regulations, including amendments related to signs, housing, accessory structures, and other land use matters. That is part of good zoning practice. When the City sees a shift in the types of uses being discussed, proposed, or developed in the region, it should review its regulations and determine whether the code still provides clear definitions, appropriate review paths, and adequate local standards.

Staff's research indicates that the vast majority of the use categories listed in this amendment could fit within the City's desired economic development strategy if they are properly located, properly designed, properly reviewed, and conditioned where needed. That does not mean every opportunity should be accepted. It means the City should have a modern zoning framework that allows each opportunity to be evaluated carefully.

Staff does not recommend simply saying no to broad categories of uses before any actual project is presented. Many of these uses can vary significantly based on size, location, design, technology, utility demand, building configuration, outdoor equipment, operations, and surrounding land uses. A blanket prohibition may block projects that could fit the City's economic development strategy, provide jobs, add tax base, reuse industrial land, or make practical use of existing infrastructure. At the same time, allowing these uses by right may not provide enough public review. The Special Use Permit process provides a better middle ground.

Special Use Permit Review and Conditions:

One of the strongest reasons to use the Special Use Permit process for many of these emerging uses is that it allows the Planning Commission and City Commission to add conditions that are tied to the specific use and the specific site.

If a use is permitted by right, the City's review is generally limited to confirming that the use is allowed and that the site plan meets adopted standards. The City still has code authority, but there is less ability to evaluate broader compatibility issues through a public hearing process.

A Special Use Permit gives the City more insight and more control. It allows review of the proposed location, surrounding land uses, site layout, access, utility demand, water and wastewater needs, drainage, outdoor equipment, screening, lighting, noise, operating characteristics, emergency access, hazardous materials, decommissioning, and other site specific issues before the use is approved.

The Special Use Permit process also allows conditions to be placed on the approval. Depending on the facts of the application, conditions could address equipment placement, screening, buffering, generator testing, acoustic mitigation, post construction sound testing, truck routes, emergency response coordination, utility phasing, stormwater controls, wastewater pretreatment, fuel storage containment, local complaint contacts, decommissioning, site restoration, or other reasonable requirements.

That is why the Special Use Permit approach is stronger than trying to force every newer use into an older category or allowing these uses by right without a more detailed public review.

Current Regulatory Context:

The current zoning regulations already allow a number of significant industrial and operational uses today. In the I-1 and I-2 districts, the current regulations already contemplate light manufacturing, general manufacturing, processing, wholesaling, trucking, warehousing, public utility facilities, pipelines, motor freight terminals, recycling processing, refuse transfer, vehicle repair, vehicle storage, equipment storage, truck stops, gas and fuel storage, and similar industrial or service uses. Some are permitted by right. Others require a Special Use Permit.

The point is that the City's current zoning regulations already allow industrial and infrastructure uses that can involve truck traffic, outdoor storage, noise, lighting, heavy utility demand, fuel storage, wastewater, stormwater, or other operational impacts. In some cases, those existing uses may be just as intense, or more intense, than some of the emerging uses being defined in this amendment.

The proposed amendment does not open the door to industrial activity that does not already exist in some form under the zoning regulations. It adds clearer definitions and, for many of the newer uses, requires more review, more disclosure, and more ability to attach conditions. For example, data centers would require a Special Use Permit in any district where they are allowed. Battery energy storage, battery recycling, hydrogen production and storage, carbon capture support facilities,

semiconductor fabrication, small modular reactor or microreactor facilities, and utility scale solar would also require Special Use Permit review in the industrial districts where they are listed.

Other Regulatory and Permitting Requirements:

Zoning is only one layer of review. A zoning approval, including a Special Use Permit, does not replace state or federal permitting, building code review, fire code review, utility review, environmental review, water and wastewater capacity review, stormwater permitting, air quality permitting, industrial pretreatment requirements, Kansas Corporation Commission related utility processes, Kansas Department of Health and Environment requirements, Kansas Intelligence Fusion Center review where applicable, or any other outside agency review that may apply to a specific project.

Some uses may also involve federal review, such as Nuclear Regulatory Commission review for nuclear related facilities, Federal Energy Regulatory Commission or utility coordination for electric transmission matters, U.S. Army Corps of Engineers review for certain water or wetland impacts, or other regulatory approvals depending on the project.

The local zoning process does not waive those requirements. It creates the local land use framework within which those other technical and regulatory reviews can be considered.

Use of the Words “May” and “Shall”:

Several comments during the process focused on the use of the word “may” rather than “shall” in portions of the proposed Article 6 standards. Staff intentionally left “may” in certain places because not every project in a broad use category will create the same impact or need the same level of technical study.

In the City’s zoning regulations, “shall” is mandatory and “may” is permissive. A mandatory “shall” is appropriate when every applicant should provide a specific item or comply with a specific rule in every case. A discretionary “may” is appropriate when the City needs the ability to require additional information, studies, conditions, or mitigation based on the scale, location, operating characteristics, and potential impacts of a specific proposal.

Changing every “may” to “shall” could require studies that are not relevant to a smaller or lower impact proposal. It could also make the regulations more rigid than necessary and reduce the ability to tailor review to the actual facts of a project.

The draft uses mandatory language where baseline requirements should apply. For example, a data center would require a Special Use Permit in any zoning district where the use is allowed. A data center with outdoor cooling equipment, outdoor mechanical equipment, or stationary backup generation would be required to provide a noise mitigation plan and acoustic study.

The draft uses discretionary language where professional judgment and project specific review are needed. Utility provider letters, system impact documentation, phased service plans, hazardous materials summaries, industrial wastewater narratives” is permissive. A mandatory “shall” is appropriate when every applicant should provide a specific item or comply with a specific rule in every case. A discretionary “may” is appropriate when the City needs the ability to require additional, stormwater narratives, decommissioning plans, and financial surety may all be appropriate for some projects. They may not be necessary in the same form for every project.

Staff does not view the “may” language as weakening the regulations. In staff’s opinion, it makes the regulations more workable and more defensible. It allows the City to make requirements proportional, fact based, and tied to the actual application.

Attachments:

1. Text Amendment Ordinance
2. Legal Opinion - Proposed Zoning Text Amendment
3. Official Statement Regarding Proposed Zoning Text Amendment

Funding Source:

This item supports the City Commission's strategic priorities because it deals directly with how El Dorado positions itself for future investment while still protecting local control. The issue is not whether the City should accept every project. The issue is whether the City has the right zoning tools to evaluate serious opportunities when they arise.

Investment matters to El Dorado. Private investment helps grow the tax base, supports utility revenue, creates construction activity, supports permanent employment, improves the use of existing infrastructure, and strengthens the City's ability to provide services over time. Cities that are prepared for investment are in a stronger position than cities that are forced to react after an application is filed. This amendment is intended to put El Dorado in that stronger position.

At the same time, investment has to be reviewed carefully. Not every project is the right project. Not every site is the right site. Not every use belongs next to every neighborhood, roadway, utility system, or public facility. The proposed zoning amendments do not lower the City's standards. They give the City a clearer way to ask the right questions, require the right information, and make decisions based on the facts of the use and the site.

Economic Development:

The proposed amendments directly support the City's Economic Development priority. El Dorado has long marketed its industrial development, transportation access, rail access, utility capacity, and water supply as part of its economic development position. Those assets are part of what makes the community competitive for investment.

The types of uses addressed in this amendment are increasingly part of state, regional, and national economic development discussions. Data centers, advanced manufacturing, battery storage, hydrogen related facilities, semiconductor related facilities, research and development facilities, utility scale solar, and similar uses can involve large capital investment, specialized infrastructure, new technology, utility demand, and long term tax base potential.

The amendment does not say these uses are automatically good. It says they are real uses that communities are seeing interest in, and the City should have a defined local process to evaluate them. That process should allow reasonable opportunities to be considered, while still giving the City the ability to require conditions or deny a project when the facts do not support approval.

Infrastructure:

The proposed amendments support the Infrastructure priority by requiring major utility and operational questions to be addressed earlier in the review process. Many of these uses can involve electric demand, cooling systems, water use, wastewater discharge, stormwater controls, emergency access, backup power, fuel storage, fire protection, or specialized utility coordination.

The amendments also help make clear that zoning approval is not the same thing as utility commitment, infrastructure approval, public financing, or capacity reservation. They give the City a better basis to request information, require technical review, evaluate phasing, and consider conditions or separate agreements when needed.

This is important because El Dorado has valuable infrastructure assets, including water supply, treatment infrastructure, sewer infrastructure, street access, industrial land, and regional transportation connections. Those assets should support growth, but they should be used wisely and with a clear understanding of long term impacts on existing customers, future customers, maintenance obligations, treatment capacity, and system resilience.

Housing:

The amendments support the Housing priority by helping manage the edge between higher intensity uses and residential areas. Economic development and housing are connected, but they have to be balanced. The City needs private investment and tax base growth, while also protecting neighborhoods from incompatible land uses.

This amendment helps with that balance by keeping higher intensity uses out of residential districts, focusing review within office, institutional, and industrial districts, and using the Special Use Permit process for many uses with higher potential impacts. It also gives the City tools to review setbacks, screening, buffering, lighting, noise, outdoor equipment placement, generator testing, emergency access, and other site specific issues that can affect nearby homes or sensitive uses.

Downtown:

The proposed amendments are not primarily a Downtown item, but they still support the broader Downtown priority by helping preserve a clear land use pattern for the community. Higher intensity industrial and infrastructure uses should be directed to appropriate districts and reviewed under appropriate standards. That helps protect the role of Downtown as a civic, commercial, and community center.

A stronger tax base also supports the City's ability to maintain infrastructure, provide services, and reinvest in public improvements over time. This amendment does not fund a Downtown project directly, but it supports the kind of disciplined growth framework that helps the overall community remain stable and investable.

Local Control and Long Term Readiness:

Local control is an important part of this item. The City cannot control every state, federal, utility, or market force that may affect future development. What the City can control is its own zoning framework. It can decide how uses are defined, where they may be considered, whether they require a public hearing, and what local standards apply.

This amendment places El Dorado in a more prepared position. It gives residents, applicants, staff, the Planning Commission, and the City Commission a clearer process. It also helps ensure that if a project is proposed, the discussion can focus on the actual facts of the project rather than first debating whether the use fits into an outdated category.

This action should also be understood as a local jurisdictional action. The recommended regulations would apply to El Dorado and its extraterritorial zoning jurisdiction. They would not regulate the rest of Butler County.

In staff's opinion, that is the value of this amendment. It is not a project approval. It is not an incentive. It is not a commitment of infrastructure. It is a local control measure. It updates the City's zoning regulations so El Dorado can continue to grow in a way that is deliberate, reviewable, and tied to adopted community priorities.

Operation Impact:

The proposed text amendments do not create an immediate financial obligation for the City. Therefore, the primary operational impact is administrative. Staff will use the amended regulations when reviewing future inquiries or applications. For uses requiring a Special Use Permit, applicants would still be required to follow the City's established application, notice, public hearing, Planning Commission, and City Commission process. Future applications involving any of the proposed uses may require additional technical review beyond the typical staff review. There are situations where third-party evaluation will be needed to assist in reviewing certain land uses classifications depending on the scale and type of project. For complex or higher impact applications, those costs will be addressed on a project-specific basis through agreements with the developer. The ordinance does not authorize a project, approve an incentive, commit utility capacity, award a contract, or require capital improvements.

Options/Alternatives:

The City Commission has the following options with respect to this item:

1. **Approve the proposed zoning text amendment as recommended by the Planning Commission.** The City Commission may adopt the Planning Commission's recommendation by ordinance.
2. **Approve the proposed text amendment with modifications.** The City Commission may choose to add, remove, or modify language contained in the proposed ordinance. If the change is clerical, administrative, or non-substantive, it may be included in the motion initiating a vote. Motions should clearly identify the specific language being changed if a change is substantive and modifies the Planning Commission recommendation. Substantive modifications will require a two-thirds super-majority vote of the governing body.
3. **Table the item and direct staff to return with revisions or additional clarification on selected provisions.** The City Commission may table the item and direct staff to return with additional information, revised language, or clarification on selected provisions. This option keeps the item before the City Commission and does not return it to the Planning Commission unless the Commission later chooses to do so. Direction to staff should identify the specific section, use, standard, or issue needing further work.
4. **Return the item to the Planning Commission for additional review.** The City Commission may return the recommendation to the Planning Commission with a statement explaining the basis for not approving or disapproving the recommendation. This option should be used only if the City Commission identifies specific new information, a specific technical issue, or a clearly defined policy concern that warrants additional Planning Commission review. This item has already gone through a deliberate process encompassing three Planning Commission meetings, including initial discussion, two public hearings, tabling for additional review, revisions, and final Planning Commission action. If the item is returned, the motion should clearly identify the exact issue to be reconsidered, the reason additional Planning Commission review is necessary, and what specific task the Planning Commission is being asked to complete. The direction needs to be clear enough that the Planning Commission understands

whether it is being asked to review a particular use, amend specific language, consider a specific standard, evaluate new information, or address a defined policy concern.

5. **Deny the proposed zoning amendments by overriding the Planning Commission recommendation.** The City Commission may deny the proposed zoning amendments by overriding the Planning Commission recommendation. Because the Planning Commission recommended approval, denial would override that recommendation and would require a two-thirds majority vote of the full governing body.

Staff Recommendation:

Staff recommends that the City Commission adopt the recommendation of the Planning Commission and approve Ordinance No. G-____, amending Article 3, Appendix A, and Article 6 of the City of El Dorado Zoning Regulations regarding emerging industries. Staff believes the proposed amendments are a reasonable and responsible step to establishing a regulatory framework for emerging land uses. For many of these uses, the proposed amendments would give the City more public review and ability to attach site-specific conditions through the special use process than what currently exists in the City's Zoning Regulations.

If the City Commission is not prepared to adopt the Planning Commission recommendation, the item should be returned to the Planning Commission with a specific written statement identifying the exact sections or policy issues to be reviewed further.

Commission Action:

Recommended Motion:

Commissioner _____ moved to approve Ordinance No. G-____, an ordinance amending the City of El Dorado, Kansas Zoning Regulations by adding definitions to Article 3, adding use classifications to Appendix A, and adding supplementary district regulations to Article 6 for certain emerging industries, and to adopt the recommendation of the Planning Commission.

Commissioner _____ seconded the motion.

Alternative Motion to Approve with Revised Language:

Commissioner _____ moved to approve Ordinance No. G-____, an ordinance amending the City of El Dorado, Kansas Zoning Regulations by adding definitions to Article 3, adding use classifications to Appendix A, and adding supplementary district regulations to Article 6 for certain emerging industrial, energy, technology, utility, and infrastructure related uses, and to adopt the recommendation of the Planning Commission with the following amendment:

_____.

Commissioner _____ seconded the motion.

Note: If the amendment is substantive, this motion should be treated as requiring a two-thirds, super majority vote of the full governing body.

Alternative Motion to Table:

Commissioner _____ moved to table consideration of Ordinance No. G-_____ and direct staff to return with additional information, revised language, or clarification regarding the following specific item or items: _____.

Commissioner _____ seconded the motion.

Alternative Motion to Return to the Planning Commission:

Commissioner _____ moved to return the proposed emerging industries zoning text amendments to the Planning Commission for further review, with the City Commission requesting additional review of the following specific item or items:

_____.

The reason additional Planning Commission review is requested is:

_____.

Commissioner _____ seconded the motion.

Alternative Motion to Override the Planning Commission Recommendation and Deny:

Commissioner _____ moved to override the Planning Commission recommendation and deny Ordinance No. G-_____ regarding the proposed emerging industries zoning text amendments.

Commissioner _____ seconded the motion.

Note: This motion would require a two-thirds majority vote of the full governing body.